

Tesla Inc. manufactures and sells electric vehicles, and energy generation and storage systems. The company was founded in 2003 and went public in June 2010 with an initial public offering at \$17 per share. Tesla has approximately 49,000 employees. It recently moved its headquarters to Austin, Texas from Palo Alto, California and its stock is a component of the S&P 500 index.

Analyst's Notes

Analysis by Bill Selesky, April 23, 2025

ARGUS RATING: BUY

- We still see a buying opportunity at current prices
- Tesla recently reported an adjusted 1Q25 net profit of \$934 million or \$0.27 per diluted share, down from a net profit of \$1.536 billion or \$0.45 per diluted share in the year-ago quarter.
- The lower first-quarter 2025 earnings largely reflected lower total company revenue, lower vehicle deliveries, and softer gross margin performance, which more than offset higher Energy Generation and Storage revenue and higher Services (and other revenue) results.
- Looking ahead, despite a much weaker-than-expected 2025 first quarter, we expect Tesla to 'manage through' the currently difficult landscape within the global EV industry and emerge as a winner, highlighted by a refreshed product line-up, including a new 'affordable' electric vehicle, the Model 2, which we had been advocating for.
- Additionally, the company reiterated its 2025 timeline for its AI-related projects (Cybercab and Optimus), which we believe are near-term positive catalysts for the company and its valuation.

INVESTMENT THESIS

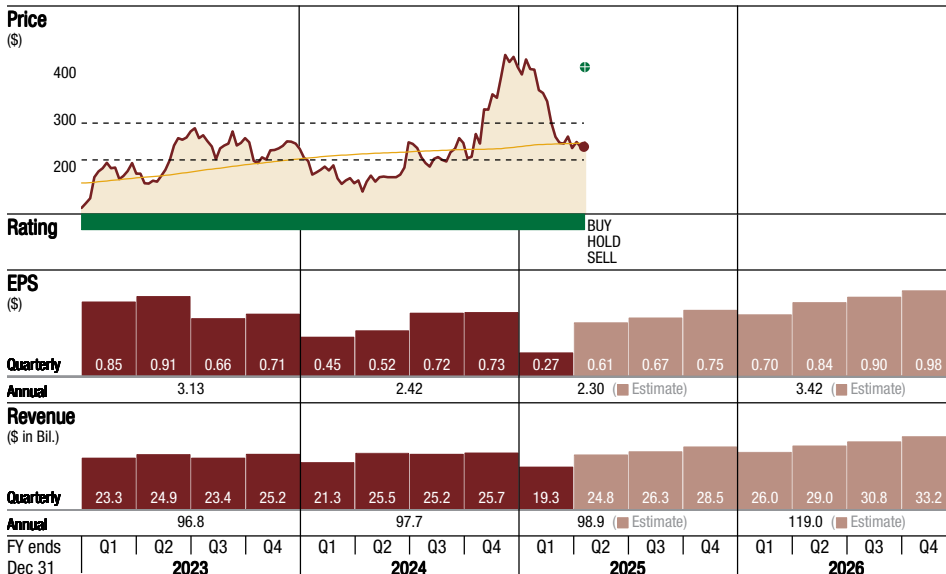
Our rating on Tesla Inc. (NGS: TSLA) is BUY. Tesla is one of the largest electric vehicle (EV) seller in the world today and holds a significant portion of the EV market share in the United States, with about 50% of the market as of the end of 2024. Ford Motor and General Motors are also key players in this market, with Ford having a market share of around 8% and General Motors around 12%.

Looking ahead, despite a much weaker-than-expected 2025 first quarter, we expect Tesla to 'manage through' the currently difficult landscape within the global EV industry and emerge as a winner, highlighted by a refreshed product line-up, including a new 'affordable' electric vehicle, the Model 2, which we had been advocating for. Additionally, the company reiterated its 2025 timeline for its AI-related projects (Cybercab and Optimus), which we believe are near-term positive catalysts for the company and its valuation.

Lastly, while EV sales have moderated over the past few months, both in the U.S. and globally, we believe the long-term trend for EV sales is still intact. We view the shares as

Market Data Pricing reflects previous trading week's closing price.

— 200-Day Moving Average — Target Price: \$410.00 — 52 Week High: \$291.85 — 52 Week Low: \$214.25 — Closed at \$241.37 on 4/18



Argus Recommendations

Twelve Month Rating	SELL	HOLD	BUY
Five Year Rating	SELL	HOLD	BUY
Sector Rating	Under Weight	Market Weight	Over Weight

Argus assigns a 12-month BUY, HOLD, or SELL rating to each stock under coverage.

- BUY-rated stocks are expected to outperform the market (the benchmark S&P 500 Index) on a risk-adjusted basis over the next year.
- HOLD-rated stocks are expected to perform in line with the market.
- SELL-rated stocks are expected to underperform the market on a risk-adjusted basis.

The distribution of ratings across Argus' entire company universe is: 73% Buy, 26% Hold, 0% Sell.

Key Statistics

Key Statistics pricing data reflects previous trading day's closing price. Other applicable data are trailing 12-months unless otherwise specified

Market Overview

Price	\$250.74
Target Price	\$410.00
52 Week Price Range	\$141.11 to \$488.54
Shares Outstanding	3.22 Billion
Dividend	\$0.00

Sector Overview

Sector	Consumer Discretionary
Sector Rating	UNDER WEIGHT
Total % of S&P 500 Market Cap.	10.30%

Financial Strength

Financial Strength Rating	MEDIUM-HIGH
Debt/Capital Ratio	15.6%
Return on Equity	13.4%
Net Margin	6.7%
Payout Ratio	--
Current Ratio	2.02
Revenue	\$95.72 Billion
After-Tax Income	\$6.37 Billion

Valuation

Current FY P/E	109.02
Prior FY P/E	103.61
Price/Sales	8.44
Price/Book	10.82
Book Value/Share	\$23.18
Market Capitalization	\$807.62 Billion

Forecasted Growth

1 Year EPS Growth Forecast	-4.96%
5 Year EPS Growth Forecast	105.00%
1 Year Dividend Growth Forecast	N/A

Risk

Beta	1.59
Institutional Ownership	47.36%

Analyst's Notes ...Continued

attractive at current prices and reaffirm that Tesla should not be valued as just a 'car company' because it is significantly more than that. In addition to manufacturing EV's, Tesla is also dedicated to energy storage, self-driving technology, and advanced robotics. We also highlight that Tesla is still the only EV manufacturer in the world (China included) who can make a profitable electric vehicle. We are revising our price target to \$410 from \$488, reflecting our modestly lower revenue forecast for 2025 and 2026 (each about a 7% reduction).

RECENT DEVELOPMENTS

Tesla Inc. recently reported an adjusted 1Q25 net profit of \$934 million or \$0.27 per diluted share, down from a net profit of \$1.536 billion or \$0.45 per diluted share in the year-ago quarter.

Earnings per share missed our quarterly projection of \$0.63 and fell short of the StreetAccount consensus estimate of \$0.43 per share. (Tesla reported fiscal 1Q24 earnings on April 22, 2025)

The lower first-quarter 2025 earnings largely reflected lower total company revenue, lower vehicle deliveries, and softer gross margin performance, which more than offset higher Energy Generation and Storage revenue and higher Services (and other revenue) results.

Total company revenue decreased 9% to \$19.335 billion, while the Automotive division revenue fell 20% to \$13.967 billion. Additionally, Services and Other revenue increased 15% to \$2.638 billion. The 1Q25 GAAP gross margin was 16.3%, down 110 basis

points from 17.4% in the prior-year quarter, reflecting lower ASP's (average selling prices) and higher operating expenses.

In the first quarter of 2025, Tesla delivered 336,681 total vehicles (12,881 Model S and Model X and 323,800 Model 3 and Model Y), down 14% from the first quarter of 2024. Also in 1Q25, the switchover of production lines for the new Model Y resulted in several weeks of lost production. During the switchover, TSLA prepared all factories for the launch of its new models later this year.

Energy Generation and Storage revenue totaled \$2.730 billion in the first quarter, up 67% from \$1.635 billion in the first quarter of 2024, largely reflecting continuing strength in both Powerwall and Megapack deployments. In addition, the division achieved a fourth sequential record for Powerwall deployments, crossing 1 GWh for the first time, despite being supply constrained.

EARNINGS & GROWTH ANALYSIS

Tesla does not typically provide 'forward-looking' financial guidance as a matter of policy, but noted following 1Q25 results that it was difficult for them to measure the impacts of shifting global trade (tariff) policy on the automotive and energy supply chains, their cost structure and demand for durable goods and related services. As a result, the rate of volume growth will depend on a variety of factors, including the rate of acceleration of autonomy (FSD) efforts, production ramp at their factories and the broader macroeconomic environment. Tesla will revisit company

Growth & Valuation Analysis

GROWTH ANALYSIS

(\$ in Millions, except per share data)

	2020	2021	2022	2023	2024
Revenue	31,536	53,823	81,462	96,773	97,690
COGS	24,906	40,217	60,609	79,113	80,240
Gross Profit	6,630	13,606	20,853	17,660	17,450
SG&A	3,145	4,517	3,946	4,800	5,150
R&D	1,491	2,593	3,075	3,969	4,540
Operating Income	1,994	6,496	13,832	8,891	7,760
Interest Expense	718	315	-106	-910	-1,219
Pretax Income	1,154	6,343	13,719	9,973	8,990
Income Taxes	292	699	1,132	-5,001	1,837
Tax Rate (%)	25	11	8	—	20
Net Income	721	5,524	12,583	14,999	7,130
Diluted Shares Outstanding	3,249	3,386	3,475	3,485	3,498
EPS	0.21	1.63	3.62	4.30	2.04
Dividend	—	—	—	—	—

GROWTH RATES (%)

Revenue	28.3	70.7	51.4	18.8	0.9
Operating Income	2,392.5	225.8	112.9	-35.7	-12.7
Net Income	—	666.2	127.8	19.2	-52.5
EPS	—	664.1	122.1	18.8	-52.6
Dividend	—	—	—	—	—
Sustainable Growth Rate	5.0	16.1	33.4	23.1	20.7

VALUATION ANALYSIS

Price: High	\$239.57	\$414.50	\$402.67	\$299.29	\$488.54
Price: Low	\$23.37	\$179.83	\$108.24	\$101.81	\$138.80
Price/Sales: High-Low	24.7 - 2.4	26.1 - 11.3	17.2 - 4.6	10.8 - 3.7	17.5 - 5.0
P/E: High-Low	1,123.0 - 109.5	254.3 - 110.3	111.2 - 29.9	69.6 - 23.7	239.5 - 68.0
Price/Cash Flow: High-Low	168.2 - 16.4	142.3 - 61.7	86.6 - 23.3	85.6 - 29.1	117.8 - 33.5

Financial & Risk Analysis

FINANCIAL STRENGTH

	2022	2023	2024
Cash (\$ in Millions)	16,253	16,398	16,139
Working Capital (\$ in Millions)	14,208	20,868	29,539
Current Ratio	1.53	1.73	2.02
LT Debt/Equity Ratio (%)	8.4	10.4	14.2
Total Debt/Equity Ratio (%)	12.9	15.3	18.7

RATIOS (%)

Gross Profit Margin	25.6	18.2	17.9
Operating Margin	17.0	9.2	7.9
Net Margin	15.4	15.5	7.3
Return On Assets	17.4	15.9	6.2
Return On Equity	33.6	27.9	10.5

RISK ANALYSIS

Cash Cycle (days)	-9.2	4.8	11.9
Cash Flow/Cap Ex	2.1	1.5	1.3
Oper. Income/Int. Exp. (ratio)	72.8	64.9	26.7
Payout Ratio			

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Analyst's Notes ...Continued

guidance in 2Q25.

We are lowering our 2025 EPS estimate to \$2.30 from \$3.11 to partly reflect first-quarter results, which fell short (by \$0.36 per share) of our projection and our lower revenue assumption for the year (now at \$98.88 billion), down 7.6% from our previous forecast. The current consensus is \$2.38 per share.

We are also lowering our 2026 EPS estimate to \$3.42 from \$4.01 to reflect our modestly lower gross margin assumption (versus our original forecast), mostly the result of rising price competition among EV players.

FINANCIAL STRENGTH & DIVIDEND

We rate Tesla's financial strength as Medium-High. The company receives 'average' scores on our financial strength criteria of fixed cost coverage, cash flow, profitability and an 'above-average' score on debt/capitalization levels.

Tesla's credit ratings are currently designated as Baa3/stable at Moody's, while Standard & Poor's rates the company's credit profile at BBB/stable. TSLA believes it has sufficient liquidity to fund its product roadmap, long-term capacity expansion plans and other expenses.

Total debt at the end of 1Q25 stood at \$7.529 billion, consisting of short-term borrowings of \$2.237 billion and long-term borrowings of \$5.292 billion. This compares to total outstanding debt of \$9.911 billion at the end of 1Q24.

The total debt/cap ratio was 9.1% at the end of 1Q25, down

from 13.2% a year earlier and below the average for peer auto manufacturers. Tesla's five-year average debt/cap ratio is 21.1%. The company believes it has sufficient liquidity to fund its current product rollout and its long-term capacity expansion plans.

Cash and cash equivalents totaled \$36.996 billion at the end of 1Q25, up from \$26.863 billion a year earlier. In 1Q25, net cash provided by operating activities was \$2.156 billion, up from \$242 million. The company does not pay a dividend and is unlikely to initiate one in the near term.

Tesla does not have a share-repurchase program; however, in October 2022, CEO Musk hinted that the company could make a 'meaningful buyback' of \$5-\$10 billion in 2023. Given current business conditions, we now believe that Tesla will delay any potential buybacks until the 2025-2026 timeframe.

MANAGEMENT & RISKS

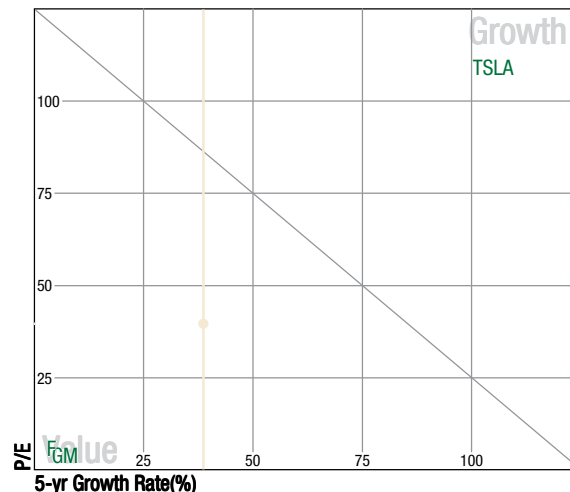
Tesla founder Elon Musk has served as the company's CEO since 2008. He is also the CEO and chief designer of Space Exploration Technologies (SpaceX), and the nonexecutive chairman and principal shareholder of SolarCity, one of the leading providers of solar power systems in the U.S. Mr. Musk has overseen product development and design at Tesla from the start and has had a nearly two-decade-long interest in electric vehicles and other environmentally friendly technology.

Like its competitors, Tesla faces risks from weak global economic conditions and changes in consumer preferences and

Peer & Industry Analysis

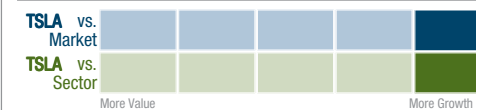
The graphics in this section are designed to allow investors to compare TSLA versus its industry peers, the broader sector, and the market as a whole, as defined by the Argus Universe of Coverage.

- The scatterplot shows how TSLA stacks up versus its peers on two key characteristics: long-term growth and value. In general, companies in the lower left-hand corner are more value-oriented, while those in the upper right-hand corner are more growth-oriented.
- The table builds on the scatterplot by displaying more financial information.
- The bar charts on the right take the analysis two steps further, by broadening the comparison groups into the sector level and the market as a whole. This tool is designed to help investors understand how TSLA might fit into or modify a diversified portfolio.

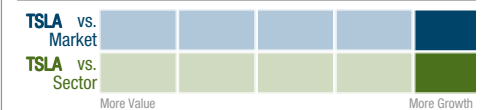


Ticker	Company	Market Cap (\$ in Millions)	5-yr Growth Rate (%)	Current FY P/E	Net Margin (%)	1-yr EPS Growth (%)	Argus Rating
TSLA	Tesla Inc	807,623	105.0	109.0	6.7	48.7	BUY
GM	General Motors Company	44,294	7.0	4.0	3.2	9.1	BUY
F	Ford Motor Co.	38,198	4.0	5.9	3.2	6.0	BUY
Peer Average		296,705	38.7	39.6	4.3	21.3	

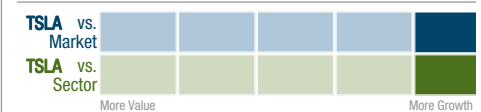
P/E



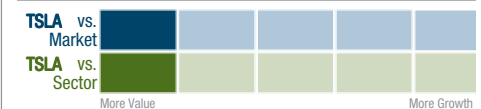
Price/Sales



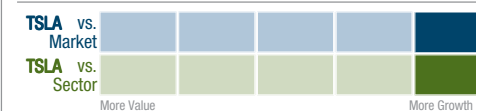
Price/Book



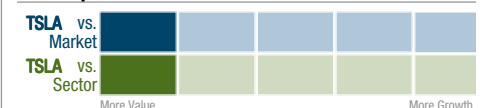
PEG



5 Year Growth



Debt/Capital



Analyst's Notes ...Continued

spending patterns. Tesla is also at risk from higher costs for components and raw materials, as well as from manufacturing disruptions. Additionally, the company is a new player in an established, high-volume industry.

COMPANY DESCRIPTION

Tesla Inc. manufactures and sells electric vehicles, and energy generation and storage systems. The company was founded in 2003 and went public in June 2010 with an initial public offering at \$17 per share. Tesla has approximately 49,000 employees. It recently moved its headquarters to Austin, Texas from Palo Alto, California and its stock is a component of the S&P 500 index.

VALUATION

We believe TSLA shares are suitable for purchase at current prices. Tesla common shares have traded between \$157.51 and \$488.54 over the past 52 weeks and are currently below the midpoint of this range. To value the stock on a fundamental basis, we use peer group and historical multiple comparisons, as well as a dividend discount model.

The shares are trading at 111-times our 2025 EPS forecast and 75-times our 2026 forecast, compared to a 13-year average annual range of 105-237. They are also trading at a trailing price/book multiple of 10.9, below the low end of the historical range of 14.0-44.6; at a price/sales multiple of 8.5, above the midpoint of the range of 6.3-16.8; and at a price/cash flow multiple of 48.1, below the midpoint of the range of 30.5-71.3.

Despite the stock's volatile trading history and relatively high P/E multiples (especially when compared to legacy automotive companies), we see significant value in the TSLA shares, supported by the company's strong brand name, manufacturing efficiencies, new product line-up, and business diversification efforts. Our rating remains BUY with a revised target price of \$410 per share.

On April 23, BUY-rated TSLA closed at \$250.74, up \$12.77.

About Argus

Argus Research, founded by Economist Harold Dorsey in 1934, has built a top-down, fundamental system that is used by Argus analysts. This six-point system includes Industry Analysis, Growth Analysis, Financial Strength Analysis, Management Assessment, Risk Analysis and Valuation Analysis.

Utilizing forecasts from Argus' Economist, the Industry Analysis identifies industries expected to perform well over the next one-to-two years.

The Growth Analysis generates proprietary estimates for companies under coverage.

In the Financial Strength Analysis, analysts study ratios to understand profitability, liquidity and capital structure.

During the Management Assessment, analysts meet with and familiarize themselves with the processes of corporate management teams.

Quantitative trends and qualitative threats are assessed under the Risk Analysis.

And finally, Argus' Valuation Analysis model integrates a historical ratio matrix, discounted cash flow modeling, and peer comparison.

THE ARGUS RESEARCH RATING SYSTEM

Argus uses three ratings for stocks: BUY, HOLD, and SELL. Stocks are rated relative to a benchmark, the S&P 500.

- A BUY-rated stock is expected to outperform the S&P 500 on a risk-adjusted basis over a 12-month period. To make this determination, Argus Analysts set target prices, use beta as the measure of risk, and compare expected risk-adjusted stock returns to the S&P 500 forecasts set by the Argus Market Strategist.
- A HOLD-rated stock is expected to perform in line with the S&P 500.
- A SELL-rated stock is expected to underperform the S&P 500.

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